

Contestant Number: _____

Time: _____

Rank: _____



FINANCIAL AUDIT

(170)

STATE 2021

PRELIMINARY

Presentation Points _____ (140 points)

Specification Points _____ (20 points)

TOTAL POINTS _____ (160 points)

Preparation Time: 20 minutes

Description

Competitors will conduct analysis of a case study that highlights an issue discovered during a financial audit and prepare a recommendation based on Generally Accepted Audit Standards (GAAS).

State Preliminary Scenario

Croswell Inc. is a retailer that sells home furnishings and decorative items. You are the senior auditor on the engagement and the annual audit is nearly complete. You have reported to the audit partner that Croswell is having financial difficulties. Croswell recently lost a discrimination case that garnered a lot of publicity. Sales have been declining for some time, but the loss of such a high profile case has caused some partners to also withdraw their contracts. An internal cash flow forecast reveals that Croswell will require significant additional cash within the next 12 months to even maintain their current level of services. You are concerned that Croswell may no longer be a going concern. Describe the audit procedures that you would carry out to try to determine whether or not Croswell is a going concern.

A contestant will be DISQUALIFIED for violations of the Copyright and Fair Use Guidelines.

Contestants who do not submit an entry that follows this topic will be disqualified.